

econometrics—an approach that combines economic theory with statistical measurements. Simply put, he made people forecast *in real life* and then he judged their accuracy. This led to the series of “M-Competitions” he ran, with assistance from Michele Hibon, of which M3 was the third and most recent one, completed in 1999. Makridakis and Hibon reached the sad conclusion that “statistically sophisticated or complex methods do not necessarily provide more accurate forecasts than simpler ones.”

I had an identical experience in my quant days—the foreign scientist with the throaty accent spending his nights on a computer doing complicated mathematics rarely fares better than a cabdriver using the simplest methods within his reach. The problem is that we focus on the rare occasion when these methods work and almost never on their far more numerous failures. I kept begging anyone who would listen to me: “Hey, I am an uncomplicated, no-nonsense fellow from Amioun, Lebanon, and have trouble understanding why something is considered valuable if it requires running computers overnight but does not enable me to predict better than any other guy from Amioun.” The only reactions I got from these colleagues were related to the geography and history of Amioun rather than a no-nonsense explanation of their business. Here again, you see the narrative fallacy at work, except that in place of journalistic stories you have the more dire situation of the “scientists” with a Russian accent looking in the rearview mirror, narrating with equations, and refusing to look ahead because he may get too dizzy. The econometrician Robert Engle, an otherwise charming gentleman, invented a very complicated statistical method called GARCH and got a Nobel for it. No one tested it to see if it has any validity in real life. Simpler, less sexy methods fare exceedingly better, but they do not take you to Stockholm. You have an expert problem in Stockholm, and I will discuss it in [Chapter 17](#).

This unfitness of complicated methods seems to apply to all methods. Another study effectively tested practitioners of something called game theory, in which the most notorious player is John Nash, the schizophrenic mathematician made famous by the film *A Beautiful Mind*. Sadly, for all the intellectual appeal of these methods and all the media attention, its practitioners are no better at predicting than university students.

There is another problem, and it is a little more worrisome. Makridakis and Hibon were to find out that the strong empirical evidence of their studies has been ignored by theoretical statisticians. Furthermore, they encountered shocking hostility toward their empirical verifications. “Instead [statisticians] have concentrated their efforts in building more sophisticated models without regard to the ability of such models to more accurately predict real-life data,” Makridakis and Hibon write.

Someone may counter with the following argument: Perhaps economists’